Vietcap

Update

Military Bank (MBB)

BUY +30.5%

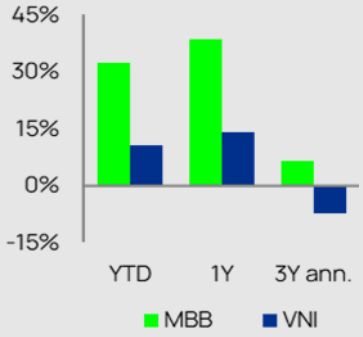
Industry	**Banking**
Report Date	**December 2, 2024**
Current Price	VND24,150
Target Price	**VND31,000**
Last Target Price	VND30,000
Upside to TP	+28.4%
Dividend Yield	2.1%
TSR	**+30.5%**
Market Cap	USD5.1bn
Foreign Room	USD0
30D ADTV	USD11mn
State Ownership	9.4%
Outstanding Shares	5.287 bn
Fully Diluted O/S	5.287 bn

	MBB	Peers	VNI
P/E (ttm)	5.9x	8.8x	14.6x
P/B (cur.)	1.2x	1.4x	1.6x
ROE	21.8%	18.4%	12.5%
ROA	2.2%	1.7%	1.9%

Company overview

Founded in 1994, MBB is the fourth largest bank in our coverage universe as calculated by total assets as of December 31, 2023. The bank had its IPO in 2004 and has listed shares since November 2011.

Share price performance



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	2023	2024F	2025F	2026F
PPOP (VND bn)	32,393	38,117	44,290	53,250
PPOP % YoY	5.3%	17.7%	16.2%	20.2%
NPAT-MI (VND bn)	20,677	22,456	25,718	31,323
NPAT-MI % YoY	18.3%	8.6%	14.5%	21.8%
EPS % YoY	18.3%	7.8%	13.7%	21.8%
NIM	4.80%	4.17%	4.18%	4.37%
CASA ratio	40.2%	37.4%	37.5%	37.7%
NPLs/gross loans	1.60%	1.90%	1.70%	1.50%
Credit costs	1.00%	1.30%	1.30%	1.28%
CIR	31.5%	29.5%	29.0%	28.5%
P/B	1.4x	1.1x	0.9x	0.8x
P/E	6.2x	5.7x	5.0x	4.1x
ROE	24.5%	21.8%	20.6%	20.8%
ROA	2.5%	2.2%	2.1%	2.2%

Strong growth outlook outweighs high credit costs

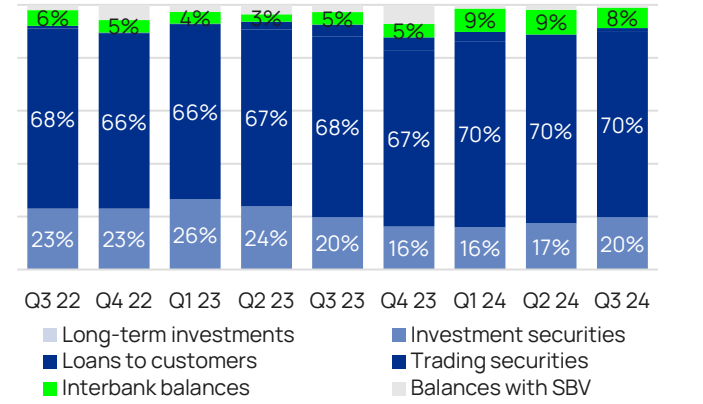
- We maintain our BUY rating for MBB and increase our target price (TP) by 3% to VND31,000/share as (1) the positive impact of rolling our TP horizon forward to end-2025F outweighs (2) our 2% cut in our aggregate 2024F-2028F earnings forecast (respective changes of -2%/-2%/-2%/-3%/-1% in 2024/25/26/27/28F).
- We trim our 2024F NPAT by 2% to VND22.9tn (USD914mn; +9% YoY) due to (1) a 1% decrease in our TOI forecast and (2) a 1% increase in provisioning expenses given our higher NPL ratio forecast.
- We expect (1) strong top-line growth in 2024-2026F to counteract high credit costs, (2) NPL formation to continue decreasing, and (3) MBB to maintain its top-tier CASA ratio in the sector due to dynamic customer acquisition and enhanced customer experience. MBB currently has more than 29 million customers (targeting 30 million by end-2024). MBB has acquired 6-7 million new customers/year since 2020, with the market's top transaction value.
- MBB's 2024F P/B of 0.93x represents a 16% discount to our peer median of 1.11x despite a higher 2024F ROE of 21.8% vs the peer median of 18.6%, based on our forecasts.
- **Downside risks:** Higher-than-expected credit costs; lower-than-expected NIM; supporting a distressed credit institution (DCI) potentially hindering the bank's growth.

We maintain our expectation for NIM improvement in the next two years. Q3 2024 NIM decreased by 34 bps QoQ to 4.24% after a significant recovery in Q2 2024. We attribute the 29-bps QoQ decrease in Q3 2024 IEA yield mostly due to (1) the hike in NPL ratio that triggered accrued interest reversals and (2) potential lending competition given MBB's 9M 2024 credit growth of 14% vs system-wide credit growth of 9% in the same period. Despite pressure on NIM from (1) deposit rates started picking up in mid-2024F and (2) competitive lending rates, we expect MBB's 2024F NIM of 4.17% (flat vs 9M NIM) given (1) MBB's ability to maintain a high CASA ratio, (2) NPL formation easing, and (3) stronger credit demand to support the IEA yield. As we expect higher pressure on NIM, we forecast MBB's NIM to improve from the current low base to 4.37% in 2026F (vs 4.41% previously).

We forecast the 2024F NPL ratio to reach a peak of 1.9% and improve to 1.5% in 2026F. We increase the 2024F NPL ratio from 1.7% to 1.9% following the higher-than-expected Q3 2024 NPL ratio of 2.23%, majorly impacted by CIC reclassification. Additionally, we lower 2024F LLR to 93% vs 99% previously. Per MBB, the parent bank's Q3 2024 NPL ratio before CIC classification was 1.6%. The QoQ increase in the Q3 2024 NPL ratio was mainly driven by a 65% QoQ increase in Group 3 loans and a 59% increase in Group 5 loans. MBB expects to control the NPL ratio below 2% and strengthen its provisioning buffer to 100% (vs 69% as of Q3 2024) by the end of 2024F. We believe MBB's NPL ratio can improve in the next three years given its top-tier loan growth and strong TOI growth to provide headroom for writing off bad debts. Given the current high bad debt metrics, we maintain our view for high credit costs of 1.28%-1.30% in 2024F-2026F.

Quarterly balance sheet metrics

Figure 1: Breakdown of IEAs

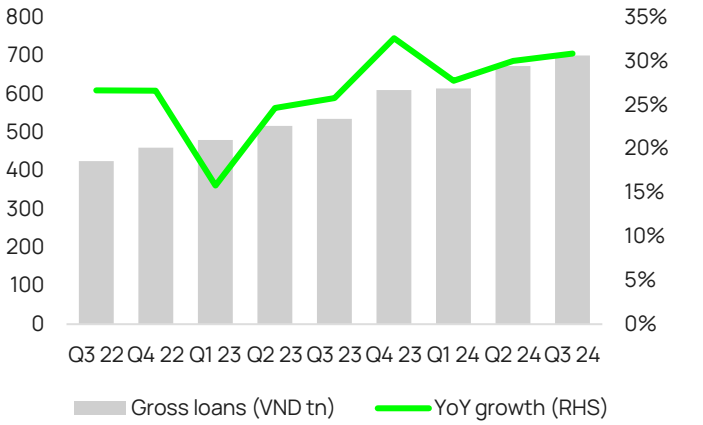


Source: MBB, Vietcap

Figure 2: Breakdown of IBLs

Source: MBB, Vietcap

Figure 3: Customer loans

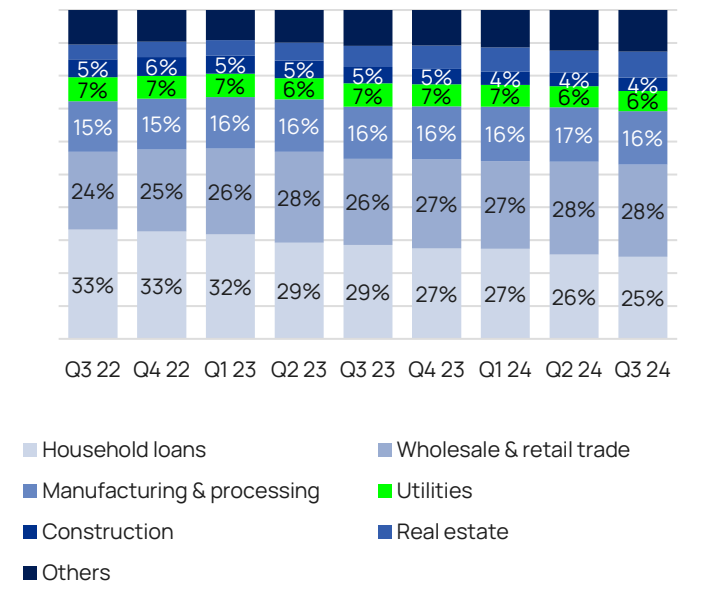


Source: MBB, Vietcap

Figure 4: Customer deposits

Source: MBB, Vietcap

Figure 5: Breakdown of loans by industry

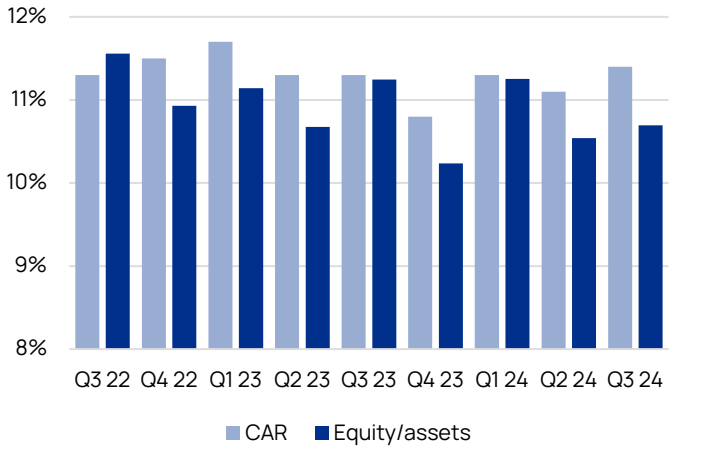


Source: MBB, Vietcap

Figure 6: CASA ratio

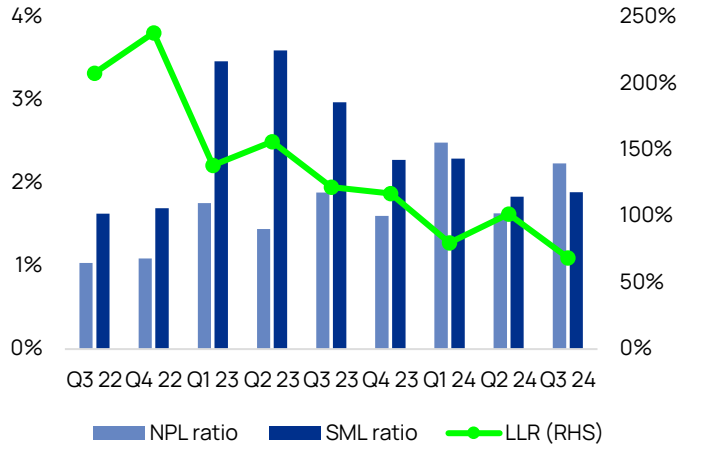
Source: MBB, Vietcap

Figure 7: CAR ratio and leverage (equity/assets)



Source: MBB, Vietcap

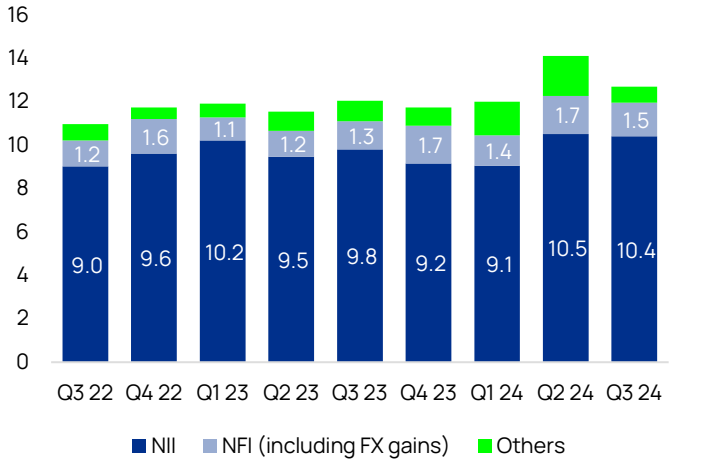
Figure 8: Asset quality



Source: MBB, Vietcap

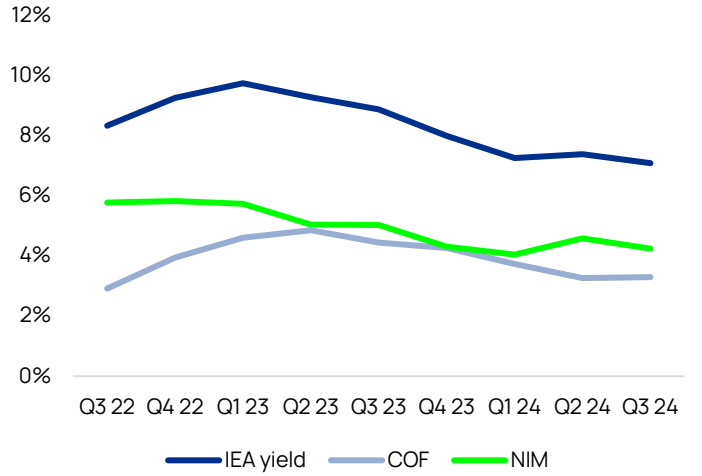
Quarterly P&L and profitability metrics

Figure 9: TOI breakdown (VND tn)



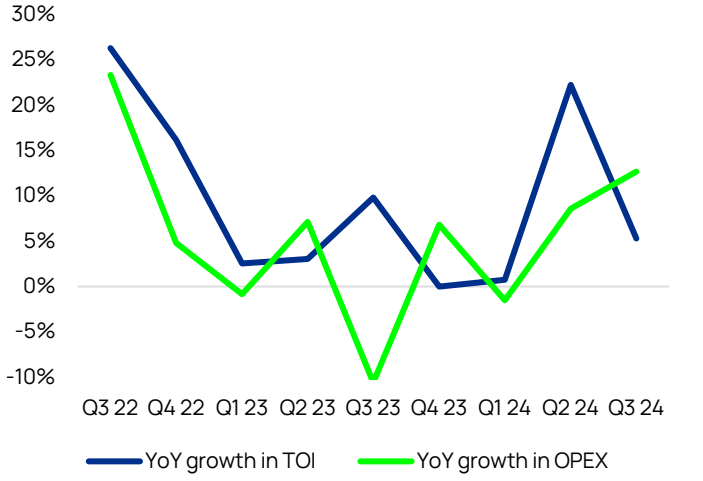
Source: MBB, Vietcap

Figure 10: IEA yield, COF, and NIM



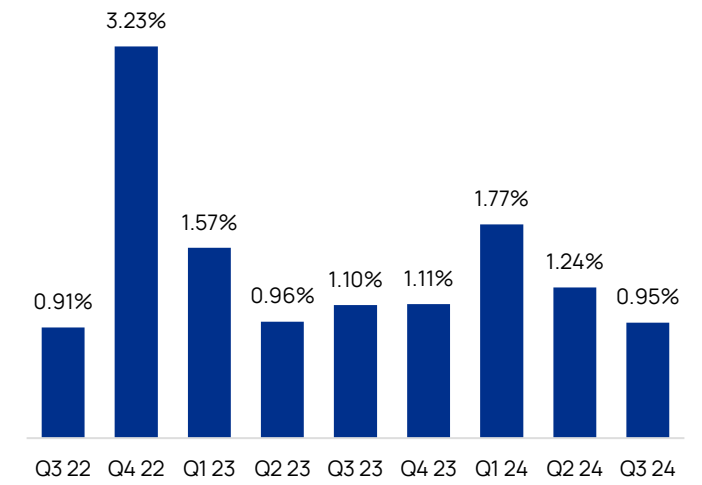
Source: MBB, Vietcap

Figure 11: YoY growth in TOI and OPEX



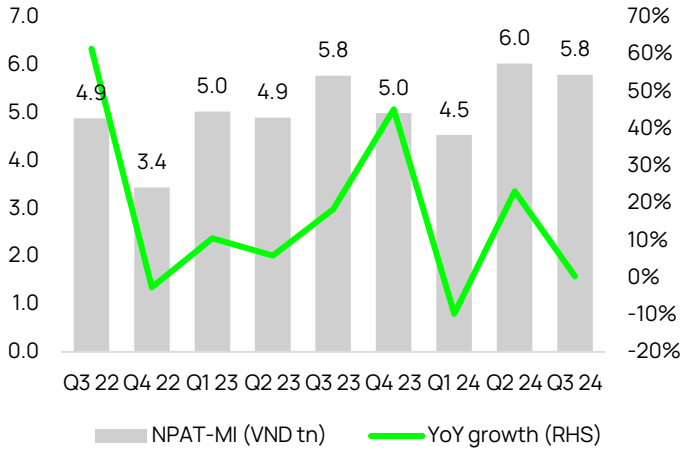
Source: MBB, Vietcap

Figure 12: Annualized credit costs



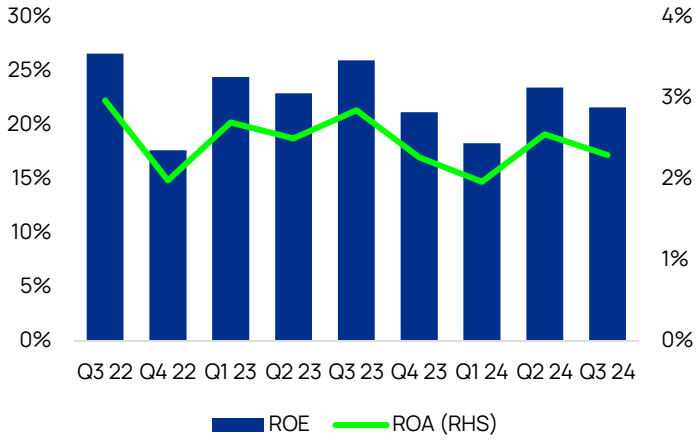
Source: MBB, Vietcap

Figure 13: NPAT-MI (VND tn) and YoY growth



Source: MBB, Vietcap

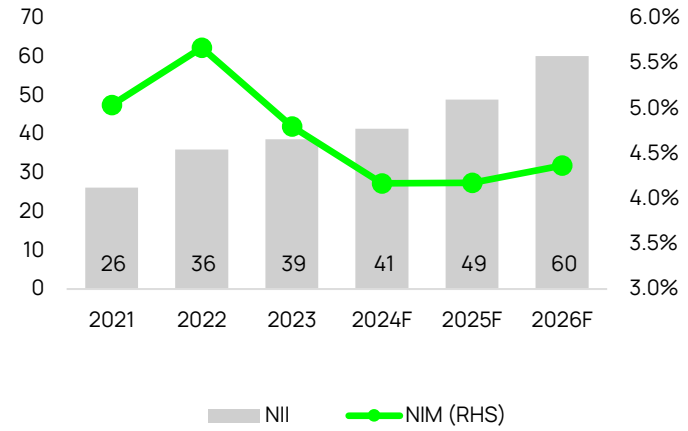
Figure 14: ROA and ROE



Source: MBB, Vietcap

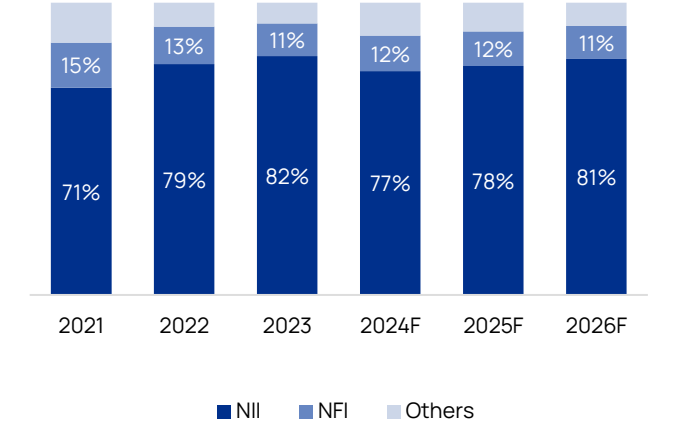
Annual metrics

Figure 15: NIM (%) and NII (VND tn)



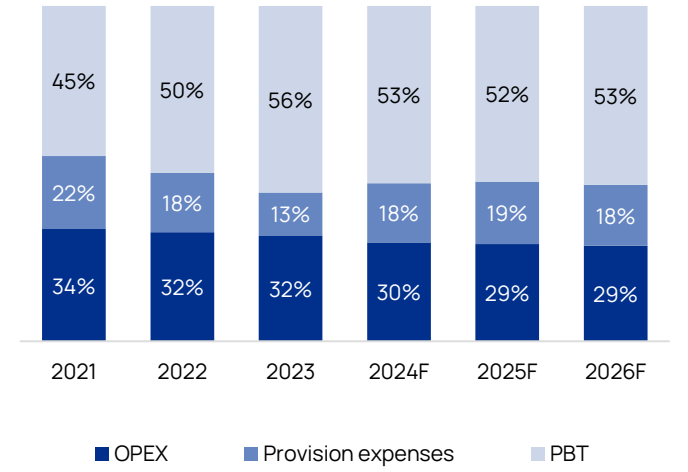
Source: MBB's financial statements, Vietcap forecasts

Figure 16: TOI components



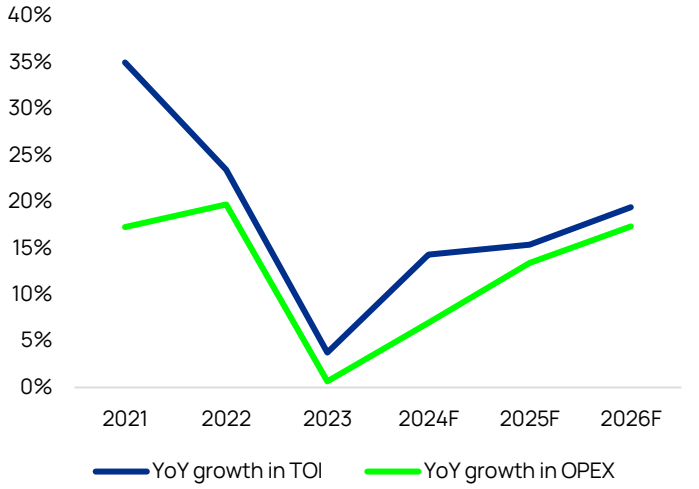
Source: MBB's financial statements, Vietcap forecasts

Figure 17: OPEX, provision expenses, and PBT as % of TOI



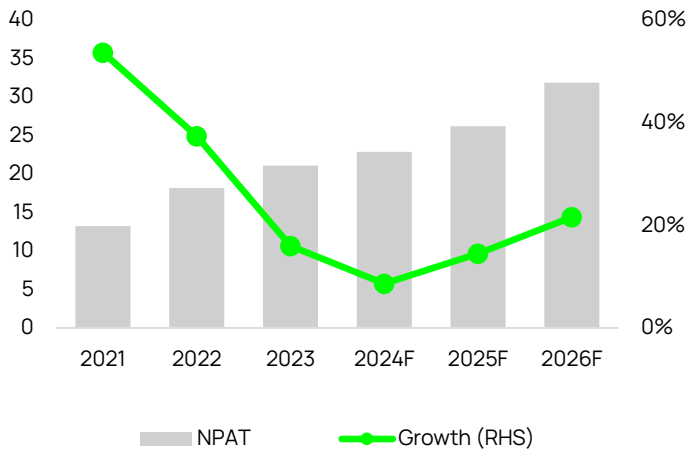
Source: MBB, Vietcap forecasts

Figure 18: YoY growth in TOI and OPEX



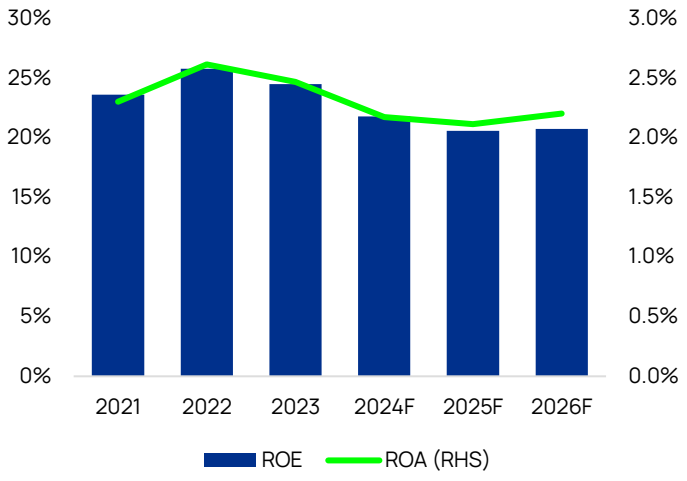
Source: MBB, Vietcap forecasts

Figure 19: NPAT (VND tn) and NPAT growth (%)



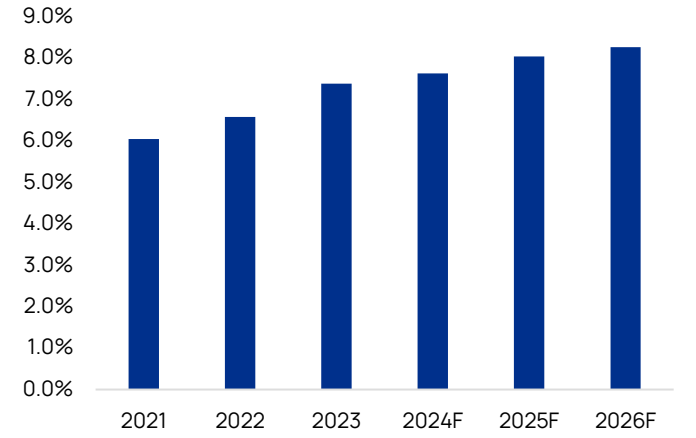
Source: MBB, Vietcap forecasts

Figure 20: ROA and ROE



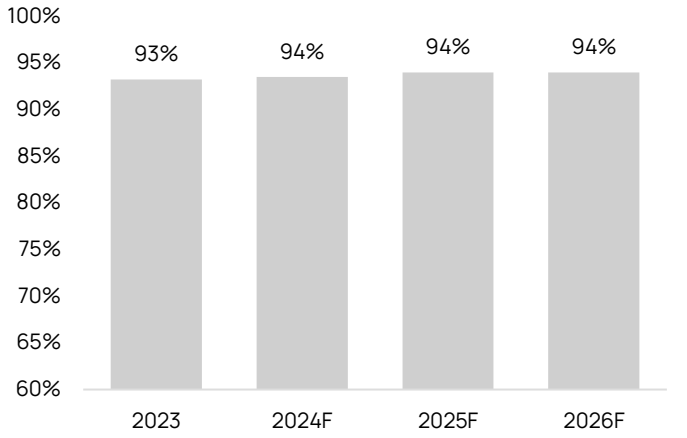
Source: MBB, Vietcap forecasts

Figure 21: Lending market share in our coverage universe



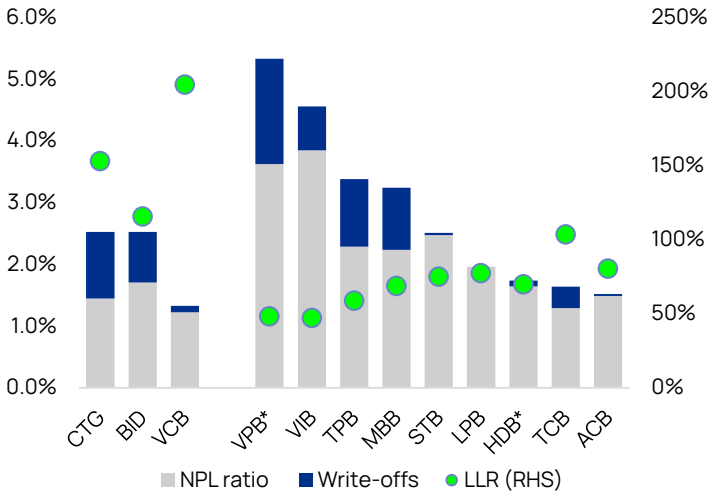
Source: Company data, Vietcap forecasts

Figure 22: RWAs as % of total assets



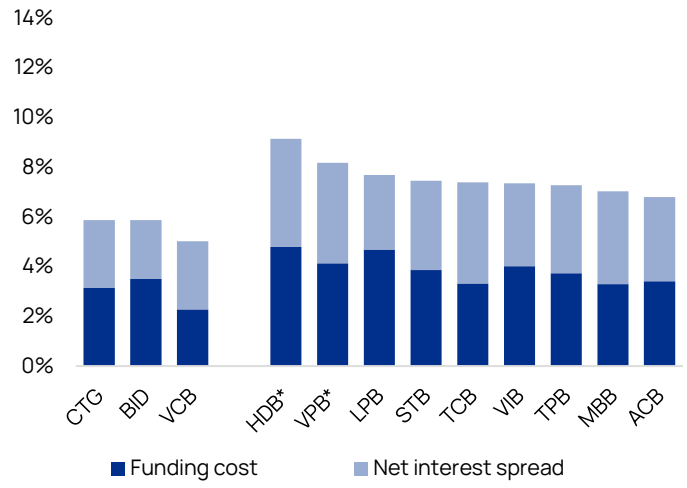
Source: MBB, Vietcap forecasts

Figure 23: NPL ratio, annualized write-offs over gross loans, and LLR of banks under coverage (Q3 2024)**



Source: Company data, Vietcap — * Standalone bank only; ** LLR is the percentage of the total provision balance over NPLs.

Figure 24: Interest-earning asset yields of banks under coverage (9M 2024)



Source: Company data, Vietcap — * Standalone bank only

Valuation

We utilize two valuation methodologies in estimating our target price, assigning equal weighting for the residual income method and target P/B multiple method.

We increase our TP by 3% VND31,000/share as (1) the positive impact of rolling our TP horizon forward to end-2025F outweighs (2) our 2% cut in aggregate 2024F-2028F earnings forecast (respective changes of -2%/-2%/-2%/-3%/-1% in 2024/25/26/27/28F). Our lower aggregate earnings were due to a 1% cut in aggregate TOI resulting from our lower NIM forecast amid stiffer lending rates competition in the banking sector and the remaining high pressure from bad debts formation.

We continue to apply a specific beta for MBB, which is estimated based on the trailing two-year raw betas from Bloomberg (50% weighting) and a beta of 1.0 (50% weighting) to reflect the assumption that the beta should revert to the mean over the long run.

Figure 25: Cost of equity

Cost of equity	Revised	Previous report
Risk free rate	6.0%	6.0%
Beta	1.18	1.18
Market risk premium	8.0%	8.0%
Cost of equity	**15.40%**	**15.40%**

Source: Vietcap

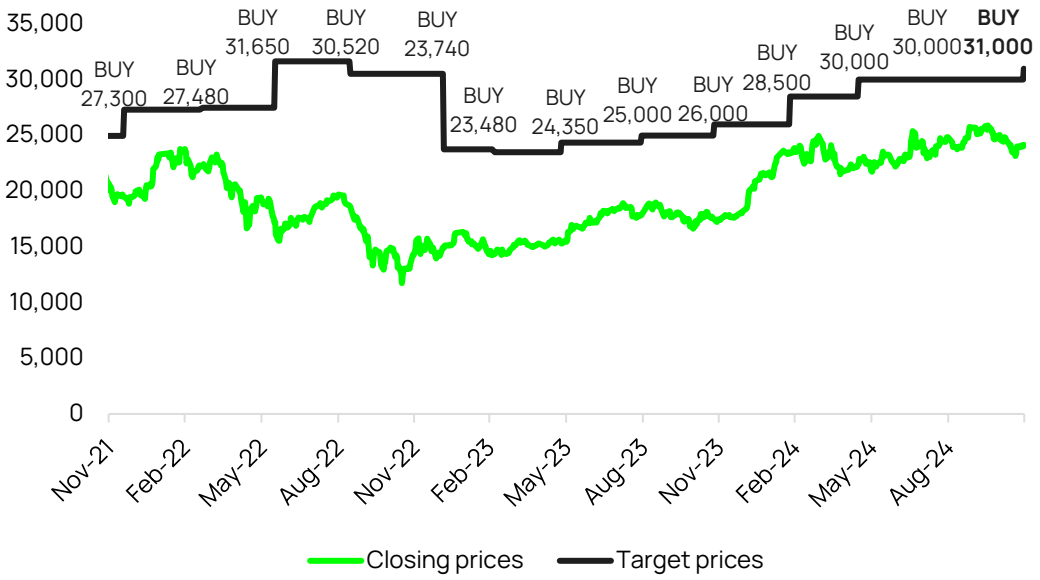
Figure 26: Valuation summary

(VND bn)	Fair value	Weighting	Contribution
Residual income	177,941	50%	88,971
Target P/B @ 1.10x	150,111	50%	75,056
Composite valuation			**164,027**
Number of outstanding shares (billion)			5.287
Target price (VND)			**31,000**
Current price			24,150
Upside			+28.4%
Dividend yield			2.1%
TSR			**+30.5%**
2024F P/B at TP			1.5x
2025F P/B at TP			1.2x
RATING			**BUY**

Source: Vietcap

Recommendation History

Figure 27: Historical Vietcap target price vs share price (VND/share)



Source: FiinPro, Vietcap (Note: Historical target prices adjusted for changes in shares outstanding)

Financial Statements

P&L (VND bn)	2023	2024F	2025F	2026F
Interest inc.	69,143	73,199	88,248	107,455
Interest exp.	(30,459)	(31,788)	(39,375)	(47,325)
Net interest inc.	**38,684**	**41,411**	**48,873**	**60,130**
Fee & commission inc.	4,085	4,902	5,883	6,765
Other non-int. inc.	4,537	7,752	7,624	7,581
Total non-interest inc.	8,622	12,655	13,507	14,346
Total operating inc.	**47,306**	**54,066**	**62,380**	**74,476**
Non-interest exp.	(14,913)	(15,949)	(18,090)	(21,226)
Other G&A exp.	0	0	0	0
Total operating exp.	(14,913)	(15,949)	(18,090)	(21,226)
PPOP	**32,393**	**38,117**	**44,290**	**53,250**
Provision exp.	(6,087)	(9,541)	(11,585)	(13,486)
Other inc./exp.	0	0	0	0
Pre-tax profit	**26,306**	**28,576**	**32,704**	**39,764**
Taxes	(5,252)	(5,705)	(6,530)	(7,939)
Net profit	**21,054**	**22,870**	**26,174**	**31,825**
Minorities	(377)	(415)	(456)	(502)
NPAT-MI	**20,677**	**22,456**	**25,718**	**31,323**
Y/E shares (mn)*	5,214	5,287	5,287	5,287
Wt avg shares (mn)	5,214	5,251	5,287	5,287
EPS (VND)	3,966	4,277	4,864	5,924
DPS (VND)	500	500	500	500

B/S (VND bn)	2023	2024F	2025F	2026F
Cash & equivalents	3,675	4,391	5,246	6,080
Balances with SBV	66,322	68,706	81,764	96,338
Due from FIs	46,344	83,419	91,226	110,550
ST investments	186,786	179,523	196,364	214,835
Net customer loans	599,579	720,314	879,170	1,037,475
HTM	5,388	5,657	6,223	6,845
LT Investments	616	683	703	724
Property & equipment	5,094	5,304	5,523	5,752
Other assets	31,149	51,328	44,729	52,780
Total assets	**944,954**	**1,119,324**	**1,310,948**	**1,531,379**
Borrowings from SBV	9	10	11	12
Interbank liabilities	99,810	111,682	125,180	140,539
Other borrowed funds	2,800	3,080	3,388	3,727
Customer deposits	567,533	681,039	817,247	948,006
Other financial int.	0	0	0	0
Valuable papers	126,463	151,756	166,931	208,664
Other liabilities	51,628	54,209	56,920	59,766
Total liabilities	**848,242**	**1,001,776**	**1,169,676**	**1,360,714**
Shareholders' equity	92,738	113,178	136,465	165,377
Minority interest	3,973	4,370	4,807	5,288
Liabilities & equity	**944,954**	**1,119,324**	**1,310,948**	**1,531,379**

RATIOS (%)	2023	2024F	2025F	2026F
Growth				
Loan growth	32.7	20.0	22.0	18.0
Deposit growth	27.9	20.0	20.0	16.0
TOI growth	3.8	14.3	15.4	19.4
PPOP growth	5.3	17.7	16.2	20.2
NPAT-MI growth	16.0	8.6	14.4	21.6
Asset quality				
Group 2 / loans	2.28	1.80	1.30	1.00
NPL ratio	1.60	1.90	1.70	1.50
LLR	117.0	92.9	101.3	114.5
Provision exp. / loans	1.00	1.30	1.30	1.28
CAR & LDR				
CAR under Basel II	10.7	10.9	11.0	11.2
Regulated LDR	74.1	74.9	78.2	79.0

RATIOS (%)	2023	2024F	2025F	2026F
Profitability				
NIM	4.80	4.17	4.18	4.37
Int-earning asset yields	8.57	7.37	7.54	7.80
Funding costs	4.34	3.65	3.82	3.92
CIR	31.5	29.5	29.0	28.5
ROE decomposition (as % of avg total assets)				
NII	4.62	4.01	4.02	4.23
Provisions	-0.73	-0.92	-0.95	-0.95
Post-provision NII	**3.90**	**3.09**	**3.07**	**3.28**
Non-Interest inc.	1.03	1.23	1.11	1.01
Operating exp.	-1.78	-1.55	-1.49	-1.49
Taxes & MI	-0.67	-0.59	-0.57	-0.59
ROAA	**2.47**	**2.18**	**2.12**	**2.20**
Equity Mult. (x)	9.9	10.0	9.7	9.4
ROAE	**24.5**	**21.8**	**20.6**	**20.8**

Source: MBB, Vietcap forecasts. * In March 2024, MBB issued 73mn shares at VND15,959/share to Viettel Group and the State Capital Investment Corporation (SCIC)

Vietcap Rating System

Stock ratings are set based on projected total shareholder return (TSR), defined as (target price – current price)/current price + dividend yield, and are not related to market performance.

Equity rating key	Definition
BUY	If the projected TSR is 20% or higher
OUTPERFORM	If the projected TSR is between 10% and 20%
MARKET PERFORM	If the projected TSR is between -10% and 10%
UNDERPERFORM	If the projected TSR is between -10% and -20%
SELL	If the projected TSR is -20% or lower
NOT RATED	The company is or may be covered by the Research Department but no rating or target price is assigned either voluntarily or to comply with applicable regulation and/or firm policies in certain circumstances, including when Vietcap is acting in an advisory capacity in a merger or strategic transaction involving the company.
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